

14. (a) \$41811 (b) \$1537.79
15. (a) \$39428 (b) 1872.13 (c) 4.75% (2 d.p.)
16. (a) \$2250000 (b) 7.5c per share (c) \$1650
17. (a) \$4125000 (b) 27.5 cents per share (c) \$1925

7. (a) ABC P/E = 16.68 (2 d.p.) WXY P/E = 14.01 (2 d.p.)
(b) P/E ratios valid for comparison as both companies are in the same industry. However it should be used with caution and investment decisions should not be based solely on the P/E ratio. The P/E ratio should be used in conjunction with other ratios and measures when making investment decisions.
(c) Comparing P/E ratios for these two companies shows that an investment in WXY gives the investor more "value" for their shares because they are paying \$14.01 for every \$1 of earnings whereas for company ABC they are paying \$16.68 for every \$1 of earnings. (d) It will take approx. 16.7 years to recoup his initial costs on the assumption that the P/E ratio remains constant at 16.7 over this period of time. (e) It will take approx. 14 years to recoup his initial costs on the assumption that the P/E ratio remains constant at 14.1 over this period of time.
8. (a) \$1.20 per share (b) 13 (c) \$1.12 per share (d) 8
(e) Comparing the P/E ratios for these two companies shows that an investment in Shalegas gives the investor more "value" for their shares because they are paying \$8 for every \$1 of earnings whereas for WA Offshore they are paying \$13 for every \$1 of earnings.
9. (a) \$1.50 (b) 6.32 (c) \$8.54 (d) 7.91 (e) Based on the P/E ratios Texco Ltd is the better performer because its share price is trading 7.91 times higher than its earnings whereas Worstco's share price is trading only 6.32 times higher than its earnings. (f) Comparing P/E ratios for these two companies shows that an investment in Worstco may be the better choice because for every dollar of earnings Chris will be paying less to invest in Worstco than Texco. For every dollar of earnings Chris will pay \$6.32 to invest in Worstco as compared to \$7.91 for Texco.